

Now, value or intrinsic value is the true value of the company. It is more stable. It will move upwards if the company performs well and move downwards if the company underperforms.

On the other hand, market sentiments are only speculative. They can't be trusted. It can change with a small piece of news and may take any direction.

The price of the stock is a combination of both value and market sentiments. But no one knows the exact intrinsic value of the company and all numbers are mere speculations. So the proportion of intrinsic value and the market sentiment is unknown. Price is significantly affected by the sentiments. As perceptions and sentiments can change very quickly, market prices can move quickly in any direction. However, in the long run, the price will always follow the true value.

